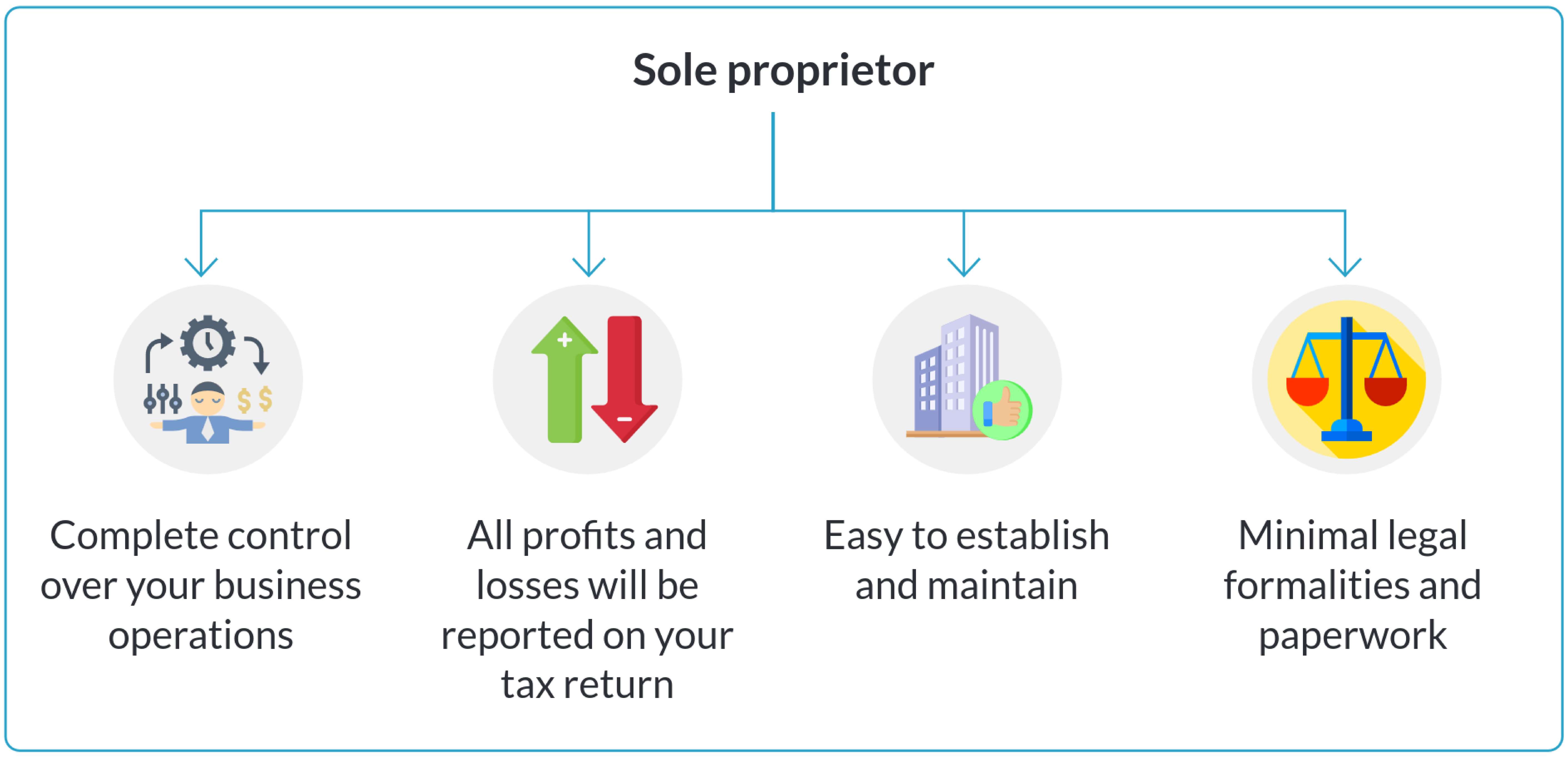
Once you have identified the consulting segment you wish to target, the next critical decision is selecting the appropriate legal structure for your business. The primary options include:

Sole Proprietorship

A sole proprietorship is the simplest and most common legal structure for small businesses, including consulting firms. This structure has no legal distinction between the business and its owner.

As a sole proprietor, you will have complete control over your business operations, and all profits and losses will be reported on your tax return. This structure is relatively easy to establish and maintain, with minimal legal formalities and paperwork.



However, one significant drawback of a sole proprietorship is the lack of personal liability protection. In this structure, you and your business are considered the same entity, meaning you'll be personally liable for all business debts, obligations, and legal actions against your company. If your consulting firm faces financial difficulties or legal disputes, your assets, such as your home, savings, and investments, may be at risk.